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1-A:

A: Here a subjective opinion and a value judgement of someone who believes in the importance of investment in infrastructure, is presented, thus making this correct that this is a “normative statement

B: This is a factual statement explaining the likely consequences of increased investment in form of being able to attract visitors in the region ,which can be objectively analyzed , thus making this a “positive statement”

C: This statement can be objectively analyzed by comparing the current level of investment with the investment of the previous years, thus making this a positive statement.

D: Again, this statement is based on facts , thus making it a positive statement

2-D:

The output combination 1 says that we are producing 220 units of good X with 10 units of good Y.

As we move to output combination 2, that is produce an additional 15 units of Y, we will forego 20 units of X. Therefore, the opportunity cost will of one unit of X will be the 1.33 unit of Y foregone calculated by $(20 \div 15)$.

Therefore, giving us $1Y = 1.33X$

Next , as we proceed to combination 3, in order to achieve an additional output of 15 units of Y, we will forego 20 units of good X, thus the opp cost of 1 unit of Y will also be 1.33 units of X foregone , thus making $1Y = 1.33 X$.

Now ,as we move to combination 4 , in-order to achieve an additional output of 30, we will have to sacrifice on 40 units of good X. so if we divide 40 by 30, we will get the answer 1.33. That means in-order to produce one extra unit of good Y, I'll have to forego 1.33 unit of X , this makes the equation $1X = 1.33Y$ again.

Similarly, as we move to output combination 5, we notice that in-order to achieve an additional output of 30 units of good Y we will have to forego 50 units of good X, therefore the opp cost of 1 additional unit of good X will be $50/30$ i.e. 1.67 units.

This means one extra unit of Y will lead to me sacrificing on 1.67 unit of good Y, thus making the equation $1Y = 1.67X$.

Hence proven that the opportunity cost is never above $1Y=2X$.

This is why option D will be correct and option B cannot be correct

It does not decrease as the output of Y increases . Initially , it stays constant up to the fourth combination but as we progress towards the fifth combination, the opportunity cost increases.(This is why, options A and C will be correct)

3-A:

- A- Increasing employment will not shift the PPC rightwards; instead it leads to the actual moving closer to the potential, thus making this correct
- B- An increase in retirement age will lead to an increase in the size of the labor force, and an increase in the qty of factor of production(labor), will increase the productive potential of the economy, leading to a rightward shift in the PPC, thus making this incorrect.
- C- An increase in the skill level of employees will lead to an increase in the quality of factor of production(labor), which will increase the productive potential of the economy, leading to a rightward shift in the PPC, thus making this incorrect
- D- An increase in usage of capital will again increase the productive potential of the economy, leading to a rightward shift in the PPC curve.

4-B:

- A- The fact that payment by one individual does not restrict others from consuming it, and **even the non-payers , representing those who do not pay taxes, cannot be excluded from enjoying the benefits associated with the good explains the characteristics of “ non-excludability”**. This is why, this is incorrect.
- B- Consumption by one individual does not reduce the amount available for others to consume represents the characteristic of “non-rivalry”, thus making this correct.
- C- People consume too less of the good due to information failure or lack of information about the true value these goods present explains a “merit good”
- D- Only free goods are in unlimited supply, thus making this incorrect

5-B:

When constructing the market supply curve, all other factors affecting supply, that is, **number of firms in the industry(option A), the prices of factors of production(option C) and the state of technology(option D) will be held constant.**

The only factors to not be held constant are: price of the product and the qty supplied of the product. Since, price of the product is variable, option B becomes correct

6-D:

At point 10, the combined quantity of three buyers is 40. Now we are given the quantities of Freeman and Hardy that is 30 ($24+6=30$), giving the difference of 10, that will be the third buyer "Willy's quantity".

Similarly, at price level of 15, the combined qty is 30, and the cumulative quantity of Freeman and Hardy is 20 i.e. ($15+5=20$), thus giving Willy's qty of 10.

Likewise, at price level of 20, the total qty of three buyers is 20, and if we subtract the qty of other buyers i.e. $10(6+4)$, we get Willy's qty that is 10 again.

At all price levels, the qty of Willy is same; quantity remaining unchanged shows that the demand is perfectly price inelastic.

This is shown about in option D

7-B:

A: In the short-run, producers can respond but their responsiveness is low that is supply is inelastic (< 1), instead of it being zero, therefore making this incorrect.

B: The price-elasticity of supply increases in the long-run as producers have more time to respond to changes in demand; their responsiveness is also higher in the longer run, since all the factors of production including capital can be varied, thereby making this correct.

C: The price elasticity of supply is zero in the momentary run that represents a particular point in time, representing a situation whereby the responsiveness of the producer is zero. This occurs when the supply is fixed for example: the seating capacity of the cinema is fixed, and cannot be increased in the momentary run. This is why this option is incorrect.

D: The price-elasticity of supply is elastic in the long-run as producers have more time to respond to changes in demand; their responsiveness is also higher in the longer run since all the factors of production including capital can be varied, instead of it being a zero, thereby making this incorrect.

8-C:

$$PES = \frac{\% \text{ change in QS}}{\% \text{ change in price}} \Rightarrow \frac{5-4}{4} \times 100 \Rightarrow 25\%$$

$$\Rightarrow \frac{x\%}{25\%} = 2$$

$$\Rightarrow x = 50\% \Rightarrow \text{Quantity increases by } 50\%$$

$$\Rightarrow 20 + (50\% \times 20) = 30$$

$\downarrow$ initial qty $\downarrow$ new qty supplied

9-C:

EXPLANATION: Since consumers can now access music online, there will be a reduction in demand for CDs, shown through a leftward shift in the demand curve. As a result of which, there will be a fall in equilibrium price for CDs, which in turn provides a signal to CD sellers to contract their quantity supplied, or in other words, close their shops, since the incentive of profits is lost.

A-Option A shows a fall in supply, which we are not interested in.

B-Here, the supply is shown to rise, which is incorrect.

C-Since consumers have not started to access online music, they have reduced the demand for CD, because of which, and the falling market prices, there is a resultant closure in shops of CDs. This is perfectly demonstrated here through a leftward shift in the demand curve, thus making this option correct.

D-Here the demand for CDs is shown to rise, which is not the case.

10-B:

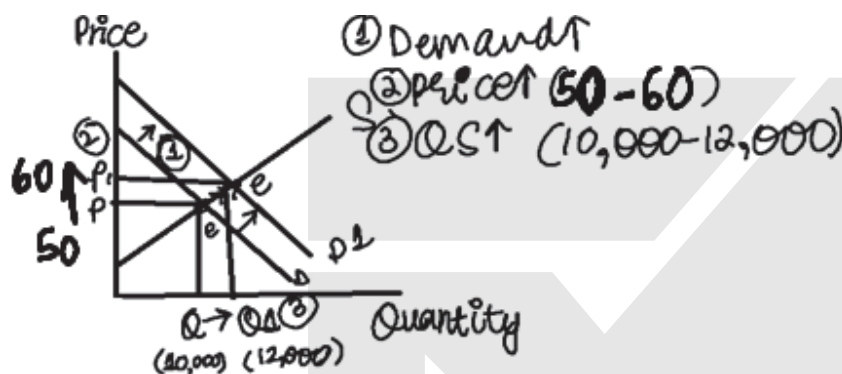
A:A cut in taxes paid by the oil company to the government represents a loss of tax-revenue, which is a disadvantage and not an advantage. Moreover, the conservation of natural resource represents an advantage instead of a disadvantage, thus making this incorrect.

B: The word **potential** explains that an advantage may be likelihood or a possibility of a reduction in costs of pollution which can be deemed correct as this is definitely a probable advantage. Whereas, it is also referred in the extract that there was enough oil to support the local power stations, so when exploration is ceased, a disadvantage may be in form of **loss of cheaper oil. This is why this is correct.**

C: Due to the research not being done by the oil company, Namibia would be deprived of more advanced extraction techniques, thus creating a disadvantage. And even though a loss of employment opportunities is a disadvantage, this option becomes incorrect overall.

D: Exhaustion of natural resources represents a disadvantage, and loss of potential exports is apparently also a disadvantage, but also in the extract it says that **there is a reduced likelihood of oil exports as it is not enough to allow exports**, therefore putting a question mark against this disadvantage. Well, whatever the case is, this option becomes incorrect.

11-B:

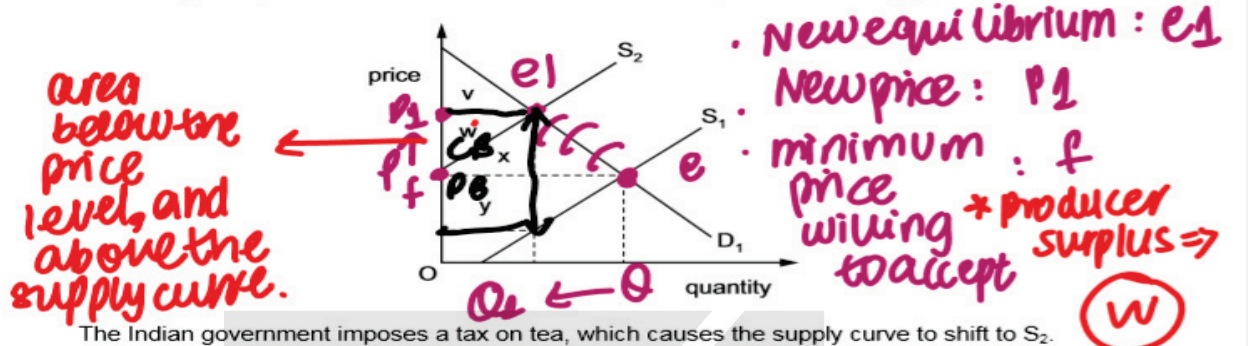


We require an option that results in an increase in demand, as a result of which there will be a shortage, which will cause the equilibrium price to rise from 20 to 22 dollar, thereby providing a signal to suppliers to extend quantity supplied from 10,000 to 12,000 units, this can be seen on the figure above.

- A- An increase in the price of a complement will cause a **fall in the demand** for the good since there is a negative relationship between the price of one good and the demand for another in case of complements. Therefore, this option becomes incorrect
- B- An increase in the price of a substitute causes the demand for the good to increase since there is a positive relationship between the price of one good and the demand of another in case of substitutes. Since we are interested in an option that leads to an increase in demand, this option is correct.
- C- An imposition of a minimum price does raise prices, but since as a result of it, qty demanded that is the qty traded falls, this option becomes incorrect.
- D- Imposition of indirect taxes after having reduced supply would raise prices, but this would result in a contraction in qty demanded (qty traded), thus making this incorrect.

12-D:

12 In the diagram D_1 is the demand curve for Indian tea and S_1 is the initial supply curve.



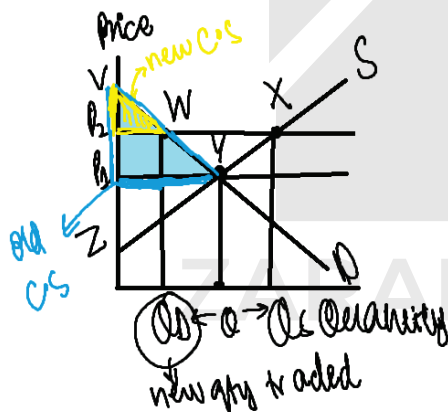
The Indian government imposes a tax on tea, which causes the supply curve to shift to S_2 .

Which areas in the diagram measure the resulting tax revenue to the Indian government and the new producer surplus?

	tax revenue	new producer surplus
A	$w + x$	v
B	$w + x$	w
C	$w + x + y$	v
D	$w + x + y$	w

* per-unit tax $\Rightarrow$ vertical distance between the two supply curves.
 + Tax revenue $\Rightarrow$ per unit tax * new equilibrium qty
 $CB + RB$
 $\hookrightarrow W + X + Y$

13-B:



A: As can be seen above consumer surplus decreases by $P_1 P_2 W Y$, therefore making this option incorrect.

B: The above diagram explains why this option will be correct.

C: Upon an increase in price, there is a resultant contraction in quantity demanded, which is why consumer surplus decreases upon a rise in price, instead of increasing which is why this option is incorrect.

D: Upon an increase in price, there is a resultant contraction in quantity demanded, which is why consumer surplus decreases upon a rise in price, instead of increasing which is why this option is incorrect.

14-A:

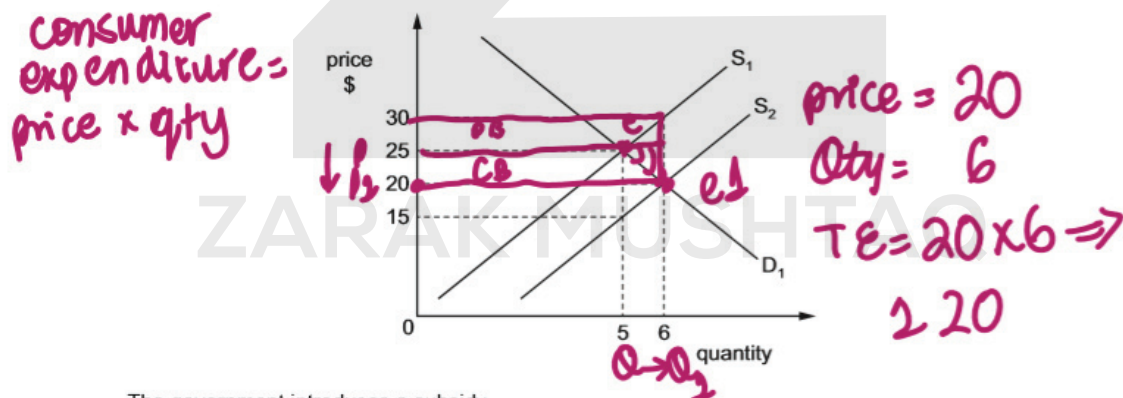
A- The “maximum price” set below the equilibrium price will cause a “shortage” of the product, and a “minimum price” set above the market equilibrium price will cause a “surplus” of the product.

This is because in order for the maximum price to be effective, it must be imposed below the equilibrium, this way it can fall from this level, but not rise, preventing it from reaching the equilibrium, which would have made price control ineffective, and price-mechanism functional. Additionally, these lowered prices bring about an extension in quantity demanded and a contraction in quantity supplied by producer, thereby causing shortages to develop.

Whereas, in order for the minimum price to be effective, it must be imposed above the equilibrium, this way, it can rise from this level, but not fall, preventing it from reaching the equilibrium, which would have made price mechanism functional, and price-control ineffective. Additionally, these higher prices will bring about an extension in quantity supplied and a contraction in quantity demanded, thereby causing surpluses to develop. This is why, no other option can be correct except for option A

15-B:

15 The diagram shows the original demand curve D_1 and original supply curve S_1 for a good.



The government introduces a subsidy.

What will be the total consumer spending after the introduction of the subsidy?

- A \$75 **B \$120** C \$125 D \$180

16-C:

Option C, "pensions paid to retired people," is the correct choice as a transfer payment. Transfer payments refer to payments made by the government or other entities that do not involve the exchange of goods or services. They are typically aimed at redistributing income or providing assistance to specific individuals or groups.

Let's analyze why the other options are incorrect:

A) Dividends paid to private shareholders: Dividends paid to private shareholders are not considered transfer payments. **Dividends are distributions of profits made by corporations to their shareholders as a return on their investment. They represent a share of the company's earnings and are based on the ownership of shares.**

B) Income paid to civil servants: Income paid to civil servants is not categorized as a transfer payment. Civil servants receive **salaries or wages as compensation for their work and services provided to the government or public sector.** These payments are considered earned income rather than transfer payments.

D) Rent paid to landlords: Rent payments made to landlords are not considered transfer payments. **Rent is a payment made in exchange for the use of property or assets.** It represents a transaction involving the provision of land.

17-C:

A-Flood defense schemes are an example of **pure-public goods** as they are non-rivalrous in nature, that is, when consumption by one individual does not reduce the consumption for another individual. Moreover, they are also **non-excludable** as payment by one individual does not restrict others from enjoying the benefits of flood defense schemes, as even the non-tax payers get to consume it. In a free market system, market failure arises due to free-rider problem and non-provision of public goods. Therefore, direct provision by the government helps to correct it. This statement is "correct"

B – This statement is again correct, as direct provision by the government involves public expenditure, which leads to an opportunity cost, as now less funds will be available to finance other projects, for example: investment in education and training.

C – This is an incorrect statement, which makes this option a right one. Flood control dams are not merit goods, as firstly merit goods is a category of private goods, and flood control scheme is a public good, and secondly, there is no external benefit or positive spillover effect arising from it.

D – Again, this statement is the right one as direct provision of a flood control dam is an example of allocation of resources by the government

18-D:

A) Development of well-functioning capital markets: The development of well-functioning capital markets is typically associated with the transition to market economies. Capital market refers to a

place or system where individuals, businesses, and governments can buy and sell financial assets such as stocks, bonds, and other securities. It is a marketplace where investors and borrowers come together to trade these assets.

The development of these markets promotes investment. Therefore, this option is not likely to limit the transition to market economies, but rather support it.

B) Establishment of a stable, convertible currency: A stable, convertible currency is an important element of a market economy. It promotes international trade and therefore the establishment of a stable, convertible currency is consistent with the transition to market economies and is not likely to limit it.

C) National and international liberalization of markets and trade: National and international liberalization of markets and trade is a key characteristic of market economies. It involves reducing barriers to trade, **specifically promoting free trade** and promoting competition domestically, **through policies such as: deregulation**. Liberalization aims to enhance economic growth. This option aligns with the transition towards market economies and does not limit it.

D) Regulation of prices of former nationalized industries' products: Regulating prices of former nationalized industries' products would limit the transition towards market economies. Nationalized industries are characterized by state control and ownership, where prices are determined by government authorities. However, in market economies, prices are typically determined by market forces of supply and demand. By regulating the prices of former nationalized industries' products **through price controls**, the government would maintain control over pricing and hinder the operation of market forces.

19-A:

A: Decreasing interest rates would reduce the costs of borrowing of firms leading to a rise in investment expenditure, stimulating Aggregate demand. A rise in Aggregate demand would lead to a movement towards full employment level of real output, but it can result in inflationary pressures. But these would be offset by increasing investment in new technology, which will increase the productive potential or Long Run Aggregate Supply of the economy. When Aggregate demand and Long Run Aggregate supply increase simultaneously, this would result in non-inflationary growth, thus making this the right choice.

B: A decrease in money supply would bring an upward pressure on the interest rate, acting as a contractionary monetary policy. Similarly, raising corporation tax rates represent contractionary fiscal policy. These deflationary policies would dampen Aggregate demand, leading to a move further away from the full employment level of output.

C: Again, an increase in interest rates would contract Aggregate demand, since it is a deflationary monetary policy. But, raising income tax thresholds refers to the act of increasing the level of income at which individuals start paying income tax or shifting it to a higher bracket. Income tax thresholds determine the point at which individuals become liable to pay taxes on their income and the rate at which their income is taxed.

When the income tax threshold is raised, it means that individuals can earn a higher amount of income before they are required to start paying taxes.

This increased in taxable allowance would increase consumption expenditure, and stimulate Aggregate demand. But since Aggregate demand is decreasing and increasing, the net effect will be uncertain .

D-Raising money supply would lead to a fall in interest rates, and this expansionary monetary policy will lead to a rise in Aggregate demand. Similarly, raising welfare benefits would lead to a rise in consumption expenditure , again increasing Aggregate demand. Although, there will be a move towards a full employment level of output, there would be inflationary pressures, thus making this option incorrect.

20-A:

We are interested in an option that results in a leftward shift in Aggregate demand.

- A- Appreciation results in a Balance of deficit in the long-run when the combined elasticities of demand of imports and exports is greater than 1, that is elastic demand, and these net-leakages from the circular flow would result in a decrease in Aggregate demand, making this correct.
- B- An increase in money supply would cause the interest rate to fall, leading to a reduction in costs of borrowing and in turn a rise in investment, leading to a rise in Aggregate demand, making this incorrect
- C- An increase in price level would cause a movement along the Aggregate demand curve, thus making it incorrect
- D- An increase in real wages would increase purchasing power, and in turn consumption expenditure, leading to a rise in Aggregate demand, thus making this incorrect.

21-D:

A) A decrease in average wage rates: A fall in the consumer price index may affect real wages rather than average wages.

B) A decrease in borrowing: While deflation can increase the real value of the debt which may decrease borrowing, but this is not always associated with deflation, because this depends upon other factors such as :confidence

C) A decrease in consumers' expenditure: A fall in the consumer price index typically indicates a decrease in the average price level of goods and services in the economy. When prices decrease, consumers' purchasing power increases, which can lead to an increase in consumers' expenditure.

D) A decrease in the cost of living: A decrease in the consumer price index is associated with a decrease in the cost of living. The CPI is often used as a measure of inflation and reflects changes in the average prices of goods and services over time. When the CPI falls, it indicates that the cost of living has decreased .This is why, option B becomes correct.

22-C:

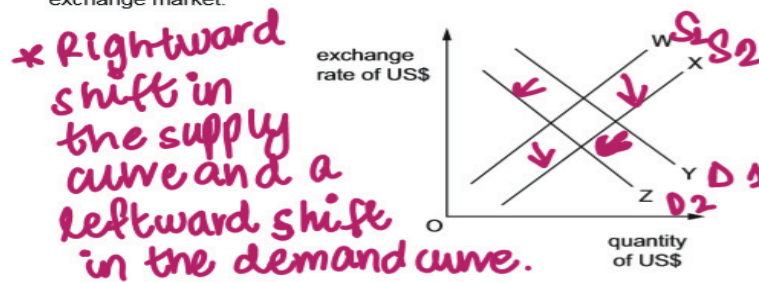
The correct answer will be C because current account balance is the sum of:

Balance of trade in goods, Balance of Trade in services ,primary incomes , and secondary incomes.

Capital account balance will not be included

23-A:

- 23 The US central bank lowers its interest rate. This has an effect on the exchange rate of the US\$. The diagram shows the resulting changes in the demand for and supply of US\$ in the foreign exchange market.



A change is shown by a move from a curve numbered 1 to a curve numbered 2.

What should curves W, X, Y and Z be labelled to show the effect of the interest rate fall on the exchange rate?

	W	X	Y	Z
A	S ₁	S ₂	D ₁	D ₂
B	S ₁	S ₂	D ₂	D ₁
C	S ₂	S ₁	D ₁	D ₂
D	S ₂	S ₁	D ₂	D ₁

When a country's interest rates fall relative to those of other countries, it reduces the potential return on investments in that country. Investors may then seek higher returns elsewhere, leading to capital outflows. To invest in foreign assets, investors need to sell their domestic currency, increasing its supply in the foreign exchange market.

Decreased returns on investment: Lower interest rates can reduce the returns on financial investments. This can make investing in the domestic economy less attractive for foreign investors seeking higher yields. As a result, there may be a decrease in foreign direct investment inflows into the country. This leads to a **decrease in the demand for currency**.

24-D:

A,B: We cannot comment anything about the impact on “balance of payments”, “current account balance” based on information about export prices and import prices.

24 The table refers to a particular country.

ratio of export prices to the ratio of import prices

year	index of import prices (2010 = 100)	index of export prices (2010 = 100)
2005	48.1	57.0
2015	122.4	120.8

Terms of trade

→ 118.5
→ 98.69

Which statement about the period 2005 to 2015 is correct?

- A The balance of payments worsened.
- B The current account balance improved.
- C The exchange rate appreciated.
- D The terms of trade fell.**

Export prices
Import prices
× 100

Terms of trade = $\frac{57}{48.1} \times 100$
** 2005*

→ 118.5

** 2015 → $\frac{120.8}{122.4} \times 100$*
→ 98.69

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D: The calculation above explains why terms of trade fell. And since terms of trade fell, this implies occurrence of "depreciation" rather than appreciation, making option C incorrect.

25-C:

Southland:
hours: food
** 20 : 1* $20x = 1, x = 1/20, x = 0.05$
** 1 : x*
** hours: drink*
12 : 1 = 12x = 1, x = 0.083
1 : x
Opportunity cost ratio:
0.05 F : 0.083 D
1 F : 1.66 D

Northland
** hours: food*
** 10 : 1* $10x = 1, x = 1/10, x = 0.1$
** 1 : x*
** 10 x = 1, x = 1/10 = 0.1*
Opportunity cost ratio:
0.1 food : 0.25 drink
1 : 0.25/0.1 = 15 : 2.50

How much food can be produced per hour?

** hours: drink*
** 4 : 1*
** 1 : x*
4x = 1
x = 1/4 = 0.25

For trade to be successful, the exchange rate must lie between the opportunity cost ratios of both the countries. In this case it should be 1 unit of food to 2 units of drink, thus making option C correct.

26-A:

- A- A main characteristic of customs union is that there is a common external tariff imposed on imports from non-member countries, thus making this correct.
- B- No, this is incorrect as no tool of protectionism is imposed between member countries
- C- Fixed exchange rate between member countries is a feature of monetary union.
- D- All tools of protectionism are removed between member countries, in case of a free trade area as well.

27-A

We can identify the tax revenue by multiplying the per-unit tax that is the vertical distance between the two supply curves with the volume of imports after tariff.

In this scenario, the volume of imports will be $Q_2 - Q_3$, and if we multiply it with the difference between the two world supply curves, we will obtain region **"JKMN"** as tax revenue

And, since at a higher price level after tariff, the producer surplus increases, the producer would be signaled and incentivized to extend qty supplied, which now will be OQ_2 .

This means that new domestic production is also **OQ_2** , making A the answer.

28-D:

A) Exchange rate policy: Exchange rate policy refers to the actions taken by the government or central bank to manage the value of the domestic currency relative to other currencies. While exchange rate policy can influence international trade and competitiveness, it does not directly address the quantity of skilled labor in the economy.

B) Fiscal policy: Fiscal policy involves the use of government spending and taxation to influence the overall level of economic activity, it does not directly address the quantity of skilled labor in the economy.

C) Monetary policy: Monetary policy refers to the actions taken by the central bank to manage the money supply, interest rates, and overall credit conditions in the economy. While monetary policy can impact the cost of borrowing and influence economic activity, it does not directly target the quantity of skilled labor.

D) Supply-side policy: Supply-side policy focuses on improving the productive capacity and efficiency of the economy by addressing factors that affect the supply side of the economy, including measures such as education and training programs and incentives for skill development. These policies aim to increase the quantity of skilled labor available in the economy and enhance productivity.

29-D:

A: Export subsidies is an expenditure switching policy, whereas, quota is also a switching policy

B: Income tax changes represent fiscal policy, similarly interest rates represents monetary policy .Both these policies will be reducing policies.

C: Again, both : quota and exchange controls represent expenditure switching policies

D: Tariff is an expenditure switching policy, but income tax changes, specifically rise in income tax rate as part of deflationary fiscal policy , represents expenditure reducing policy. This is why, option D will be correct.

30-C:

A) A depreciation of the country's currency: When a government increases interest rates, it can attract foreign investors seeking higher returns on their investments. This increased demand for the country's currency can potentially lead to an appreciation rather than a depreciation of the currency

B) A fall in the level of savings: Increasing interest rates can make savings more attractive as it offers higher returns on savings. When interest rates rise, individuals may be motivated to save more rather than spending or investing.

C) A reduction in economic growth: Increasing interest rates can have a dampening effect on economic growth. Higher interest rates can increase the cost of borrowing for businesses and consumers, leading to reduced investment and consumption leading to a fall in Aggregate demand. This can result in a slowdown in economic activity and a reduction in economic growth, thus making it correct.

D) A reduction in unemployment: . Higher interest rates can increase the cost of borrowing for businesses and consumers, leading to reduced investment, and this fall in production will lead to a fall in demand for labor, resulting in a rise in unemployment.